CAPITAL IMPROVEMENT PLAN

Lantern Industrial Park | Grand Rapids, MI

Property	Lantern Industrial Park
Plan Date	July 13, 2025
Prepared For	Juniper Peak Real Estate Fund
Total Plan Budget	$258,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Water heater replacement	Energy	08/22/24	Q2 2027	$208,000	$136,976	Bidding
Security camera upgrade	Site	01/20/26	Q2 2026	$702,000	$242,933	Approved
Roof replacement - Bldg B	Energy	02/08/26	Q1 2025	$671,000	$560,861	In progress
Roof replacement - Bldg C	Life Safety	10/07/26	Q3 2025	$544,000	$179,691	Complete
Fence replacement	Building	12/09/26	Q1 2026	$378,000	$243,683	Complete
Door hardware	Interior	07/06/23	Q2 2027	$737,000	$436,460	Complete
Unit interior upgrades	Site	02/24/23	Q2 2025	$689,000	$473,155	In progress
Fire alarm panel upgrade	Interior	08/07/26	Q2 2027	$122,000	$43,092	Bidding
Lobby renovation	Interior	08/25/25	Q2 2026	$550,000	$576,739	Complete
Water heater replacement	Life Safety	06/02/24	Q4 2026	$302,000	$311,909	In progress
Door hardware	Life Safety	05/28/26	Q2 2025	$423,000	$287,548	Deferred
Unit interior upgrades	Interior	09/05/23	Q1 2026	$149,000	$45,835	In progress
Parking lot resurfacing	Energy	08/26/24	Q1 2026	$333,000	$75,363	Bidding
Sewer line repair	Life Safety	06/14/25	Q2 2027	$46,000	$14,615	Approved
Landscape / irrigation	Building	12/30/25	Q4 2025	$568,000	$310,263	Bidding
Signage / monument	Energy	02/05/24	Q1 2027	$727,000	$245,215	Bidding
Pool resurfacing	Building	02/23/26	Q4 2025	$830,000	$436,490	In progress
Storefront glazing	Building	02/17/25	Q3 2026	$479,000	$178,288	Deferred
Landscape / irrigation	Energy	06/19/23	Q1 2026	$893,000	$107,828	Bidding
Sewer line repair	Interior	03/10/23	Q2 2025	$560,000	$509,627	Bidding
Exterior paint	Building	01/17/24	Q3 2026	$784,000	$270,740	Bidding
Parking lot resurfacing	Building	01/06/23	Q1 2025	$898,000	$593,899	In progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Pool resurfacing	Site	06/18/26	Q2 2027	$233,000	$120,901	Deferred
Pool resurfacing	Energy	12/08/23	Q4 2025	$286,000	$111,621	Deferred
Water heater replacement	Interior	03/01/23	Q1 2025	$893,000	$768,729	Approved
Landscape / irrigation	Building	06/14/25	Q4 2026	$129,000	$7,158	Approved
Elevator modernization	Building	07/30/23	Q3 2026	$13,000	$6,900	In progress
Water heater replacement	Building	09/10/25	Q1 2025	$373,000	$204,860	Approved
Landscape / irrigation	Building	04/11/24	Q2 2026	$32,000	$29,377	Bidding
Pool resurfacing	Energy	03/26/24	Q2 2026	$417,000	$54,471	Bidding
Sewer line repair	Life Safety	02/16/25	Q4 2025	$93,000	$29,409	In progress
Security camera upgrade	Interior	11/28/26	Q4 2026	$733,000	$639,011	Deferred
Roof replacement - Bldg A	Building	04/08/25	Q2 2026	$572,000	$531,649	Approved
ADA compliance	Interior	04/23/26	Q4 2027	$501,000	$342,493	Complete
Roof replacement - Bldg D	Energy	12/10/25	Q4 2025	$841,000	$478,959	Approved
Security camera upgrade	Interior	03/26/23	Q1 2027	$386,000	$335,539	Complete
Exterior paint	Site	12/03/24	Q1 2026	$178,000	$152,304	Deferred
Storefront glazing	Building	08/02/26	Q4 2026	$63,000	$33,586	Bidding
Pool resurfacing	Life Safety	07/24/24	Q4 2025	$877,000	$811,864	Complete
Signage / monument	Site	02/10/25	Q3 2026	$277,000	$30,508	Approved
Unit interior upgrades	Energy	09/23/26	Q1 2026	$618,000	$31,981	Bidding
Storefront glazing	Interior	03/01/25	Q4 2025	$237,000	$212,483	Deferred
Exterior paint	Energy	01/13/25	Q3 2026	$305,000	$81,246	Deferred
Exterior paint	Building	03/02/26	Q3 2025	$825,000	$496,394	Bidding
ADA compliance	Building	10/20/26	Q3 2027	$553,000	$35,264	Bidding
Pool resurfacing	Interior	05/09/24	Q2 2026	$802,000	$171,930	Deferred
HVAC replacement	Life Safety	08/06/24	Q3 2027	$307,000	$208,208	In progress
Exterior paint	Interior	09/25/23	Q1 2027	$54,000	$8,028	Complete
Elevator modernization	Energy	01/08/23	Q1 2026	$146,000	$66,408	Bidding
Unit interior upgrades	Site	09/05/23	Q4 2025	$722,000	$383,004	Deferred
Signage / monument	Life Safety	12/26/23	Q2 2025	$640,000	$471,337	Bidding
Exterior paint	Interior	02/14/26	Q2 2027	$799,000	$351,065	Complete
Exterior paint	Interior	08/27/25	Q1 2025	$516,000	$7,712	Bidding
Fence replacement	Interior	10/18/23	Q4 2025	$289,000	$60,341	Bidding
Landscape / irrigation	Life Safety	09/19/24	Q1 2025	$229,000	$105,299	Deferred
Storefront glazing	Site	02/12/24	Q1 2027	$544,000	$103,994	Deferred
Pool resurfacing	Life Safety	02/14/25	Q4 2027	$514,000	$536,126	Approved
Parking lot resurfacing	Interior	10/19/24	Q4 2026	$357,000	$140,276	Deferred
Elevator modernization	Building	07/29/24	Q2 2027	$765,000	$623,929	Complete
Sewer line repair	Building	08/03/23	Q3 2025	$697,000	$383,862	Complete
Unit interior upgrades	Interior	07/17/25	Q4 2027	$345,000	$232,453	Approved
Roof replacement - Bldg D	Site	04/07/26	Q2 2026	$426,000	$339,929	Bidding
Door hardware	Life Safety	05/08/26	Q4 2027	$793,000	$811,286	Approved
Unit interior upgrades	Interior	08/08/24	Q3 2027	$650,000	$605,075	Deferred

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Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 7 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 24 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $244,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 7 years ago and are operating without deficiency.

Risk Considerations

Projected levered IRR is 10.5% with an equity multiple of 1.30x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 41' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. The building offers 45' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 6.7% with an equity multiple of 1.37x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $37,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 7 years ago and are operating without deficiency.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $266,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 3 years ago and are operating without deficiency.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. In-place rents average $9 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 2 miles from the interstate with access to a regional intermodal terminal.

The building offers 48' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. In-place rents average $9 per square foot triple net with 3% annual escalations.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. Elevators were last modernized 6 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $242,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg A	Building	04/27/25	Q4 2025	$143,000	$16,136	Deferred
Lobby renovation	Energy	03/01/25	Q1 2025	$765,000	$305,792	Deferred
Elevator modernization	Interior	03/02/26	Q2 2026	$714,000	$312,312	Deferred
Door hardware	Life Safety	12/31/26	Q1 2027	$372,000	$303,123	Deferred
Amenity renovation	Interior	12/02/25	Q4 2026	$408,000	$284,134	Complete
Storefront glazing	Building	01/27/23	Q4 2025	$402,000	$409,875	In progress
LED lighting retrofit	Site	02/24/24	Q3 2025	$483,000	$330,269	In progress
Unit interior upgrades	Interior	03/27/26	Q3 2027	$444,000	$328,631	In progress
Fire alarm panel upgrade	Interior	01/19/25	Q2 2027	$471,000	$484,080	In progress
Elevator modernization	Interior	01/25/26	Q1 2025	$429,000	$118,030	Deferred
Lobby renovation	Interior	08/15/26	Q3 2025	$513,000	$287,037	Approved
Storefront glazing	Life Safety	05/22/26	Q2 2027	$648,000	$464,422	Deferred
Unit interior upgrades	Building	04/16/24	Q1 2026	$410,000	$192,812	Bidding
Roof replacement - Bldg B	Building	10/14/23	Q1 2025	$132,000	$115,430	Bidding
ADA compliance	Site	04/22/23	Q3 2025	$779,000	$611,993	Bidding
Fence replacement	Site	12/24/23	Q1 2026	$219,000	$197,391	Deferred
Fence replacement	Interior	05/04/23	Q2 2027	$637,000	$14,637	Approved
Fire alarm panel upgrade	Energy	09/13/25	Q4 2025	$829,000	$454,026	Bidding
Parking lot resurfacing	Building	03/15/26	Q4 2025	$94,000	$35,608	Deferred
Security camera upgrade	Site	11/13/25	Q2 2027	$605,000	$604,706	Approved
Lobby renovation	Building	03/19/24	Q4 2025	$144,000	$58,731	Deferred
Signage / monument	Life Safety	10/03/23	Q2 2026	$806,000	$15,622	Complete
Exterior paint	Life Safety	12/19/24	Q3 2025	$458,000	$308,431	Bidding
Landscape / irrigation	Interior	06/14/23	Q3 2025	$490,000	$85,523	Approved
Amenity renovation	Building	06/13/25	Q3 2025	$605,000	$28,150	Bidding
Security camera upgrade	Interior	11/16/24	Q3 2027	$671,000	$97,411	Deferred
Pool resurfacing	Energy	10/07/25	Q1 2025	$286,000	$114,526	Bidding
LED lighting retrofit	Energy	04/05/24	Q1 2025	$247,000	$168,477	Bidding
Door hardware	Site	03/13/24	Q3 2026	$580,000	$280,050	Deferred
ADA compliance	Life Safety	01/30/23	Q2 2025	$120,000	$50,458	In progress
ADA compliance	Life Safety	02/09/25	Q3 2026	$374,000	$221,897	In progress
Unit interior upgrades	Life Safety	11/11/25	Q4 2026	$545,000	$406,241	Deferred
Water heater replacement	Life Safety	07/23/23	Q1 2025	$478,000	$449,318	Deferred
Roof replacement - Bldg C	Life Safety	04/29/25	Q4 2027	$371,000	$168,928	Deferred
Fire alarm panel upgrade	Interior	01/04/24	Q4 2027	$553,000	$187,448	Bidding
HVAC replacement	Building	02/25/24	Q3 2025	$734,000	$198,003	Deferred
ADA compliance	Energy	06/13/24	Q4 2026	$78,000	$34,730	In progress
Amenity renovation	Energy	06/03/24	Q3 2027	$490,000	$303,554	Deferred
LED lighting retrofit	Building	04/27/23	Q1 2026	$604,000	$524,215	Deferred
Signage / monument	Site	05/17/24	Q3 2025	$375,000	$328,410	In progress
Fire alarm panel upgrade	Life Safety	08/04/23	Q1 2025	$171,000	$136,532	Complete

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Observed Conditions

Elevators were last modernized 9 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $135,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $367,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 15 months.

Risk Considerations

The facility is located 5 miles from the interstate with access to a regional intermodal terminal. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. In-place rents average $9 per square foot triple net with 3% annual escalations. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building offers 40' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. The facility is located 9 miles from the interstate with access to a regional intermodal terminal.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $326,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $432,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Risk Considerations

Projected levered IRR is 13.0% with an equity multiple of 1.23x over the hold period. In-place rents average $9 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building offers 34' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $9 per square foot triple net with 3% annual escalations. The facility is located 2 miles from the interstate with access to a regional intermodal terminal. Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital.

Recommendations

Elevators were last modernized 10 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $426,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Elevator modernization	Energy	11/04/24	Q4 2027	$127,000	$13,011	Bidding
ADA compliance	Life Safety	08/09/26	Q4 2025	$541,000	$418,230	Complete
Landscape / irrigation	Energy	02/09/25	Q3 2025	$816,000	$164,046	Bidding
Elevator modernization	Energy	11/07/26	Q3 2027	$592,000	$68,373	Bidding
HVAC replacement	Building	08/23/24	Q1 2027	$25,000	$7,598	Deferred
Pool resurfacing	Building	07/21/25	Q1 2027	$864,000	$153,519	Complete
Roof replacement - Bldg C	Interior	10/03/24	Q4 2026	$180,000	$9,509	Bidding
Lobby renovation	Energy	06/28/23	Q1 2026	$874,000	$391,963	In progress
Elevator modernization	Site	01/16/26	Q2 2027	$63,000	$14,403	Bidding
Amenity renovation	Interior	11/04/25	Q4 2025	$880,000	$589,800	Deferred
Water heater replacement	Building	10/25/25	Q2 2027	$515,000	$455,583	Deferred
Exterior paint	Life Safety	06/28/26	Q1 2025	$825,000	$866,041	Deferred
Lobby renovation	Energy	06/20/23	Q4 2027	$535,000	$387,836	Approved
Fire alarm panel upgrade	Site	03/09/23	Q3 2027	$385,000	$291,842	In progress
Door hardware	Site	02/13/26	Q4 2025	$883,000	$336,439	Complete
Security camera upgrade	Site	04/20/24	Q2 2026	$89,000	$80,499	Approved
Sewer line repair	Energy	12/10/23	Q1 2026	$265,000	$38,490	Deferred
Amenity renovation	Energy	08/28/25	Q3 2026	$887,000	$928,305	Deferred
Exterior paint	Site	01/26/25	Q1 2027	$683,000	$264,329	Approved
Landscape / irrigation	Energy	10/28/23	Q4 2025	$699,000	$584,264	Complete
Fire alarm panel upgrade	Building	05/04/23	Q2 2025	$612,000	$323,672	In progress
Signage / monument	Interior	06/29/25	Q1 2026	$20,000	$1,604	In progress
Fire alarm panel upgrade	Energy	10/28/23	Q2 2027	$808,000	$155,444	Deferred
Roof replacement - Bldg C	Interior	01/08/25	Q2 2027	$414,000	$430,481	Deferred
Parking lot resurfacing	Energy	10/14/23	Q4 2025	$165,000	$105,304	Deferred
Signage / monument	Energy	10/12/26	Q3 2025	$646,000	$323,564	Deferred
Security camera upgrade	Interior	05/06/25	Q1 2026	$483,000	$376,130	In progress
Signage / monument	Energy	06/05/23	Q4 2027	$120,000	$40,511	Deferred
Pool resurfacing	Energy	12/12/25	Q4 2026	$365,000	$352,701	Complete
Signage / monument	Life Safety	01/28/23	Q2 2026	$866,000	$707,460	Deferred
ADA compliance	Life Safety	01/21/23	Q4 2027	$368,000	$285,148	Deferred
Pool resurfacing	Life Safety	04/28/24	Q4 2026	$429,000	$305,960	Approved
Fence replacement	Interior	09/10/25	Q1 2026	$18,000	$12,392	Bidding
Lobby renovation	Life Safety	06/08/23	Q4 2027	$226,000	$63,783	Approved
ADA compliance	Site	08/06/23	Q3 2027	$305,000	$76,322	In progress
Sewer line repair	Interior	08/30/25	Q4 2027	$766,000	$276,094	Approved
Door hardware	Energy	11/29/23	Q1 2025	$851,000	$808,185	In progress
Lobby renovation	Energy	08/16/26	Q3 2027	$790,000	$378,386	Complete
Exterior paint	Building	01/05/26	Q4 2025	$129,000	$84,822	In progress
Roof replacement - Bldg C	Site	10/31/26	Q3 2026	$274,000	$13,450	Approved
Exterior paint	Interior	03/29/25	Q2 2026	$500,000	$385,741	Deferred
Security camera upgrade	Site	05/01/23	Q2 2026	$668,000	$633,094	Approved
ADA compliance	Life Safety	01/26/23	Q4 2026	$577,000	$168,222	Approved

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Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 6 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $427,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 8 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $421,000.

Investment Overview

Projected levered IRR is 3.1% with an equity multiple of 1.20x over the hold period. The building offers 12' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 3.1% with an equity multiple of 1.39x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building offers 16' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 9 miles from the interstate with access to a regional intermodal terminal.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $87,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 6 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 6 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 44 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $209,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. The building offers 10' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Projected levered IRR is 4.5% with an equity multiple of 1.19x over the hold period.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Projected levered IRR is 7.1% with an equity multiple of 1.14x over the hold period. The building offers 32' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $389,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 7 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 23 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Door hardware	Site	01/19/24	Q4 2026	$64,000	$50,845	In progress
Fire alarm panel upgrade	Life Safety	04/10/24	Q2 2025	$116,000	$14,381	In progress
Sewer line repair	Building	08/15/26	Q1 2027	$804,000	$801,539	Bidding
Fence replacement	Energy	09/27/26	Q1 2026	$631,000	$567,007	Complete
Sewer line repair	Interior	10/17/23	Q2 2025	$384,000	$390,223	Approved
Door hardware	Building	09/27/24	Q2 2026	$567,000	$370,311	Deferred
Signage / monument	Life Safety	11/30/24	Q1 2025	$854,000	$692,875	Deferred
Exterior paint	Interior	11/24/23	Q1 2026	$209,000	$154,027	Complete
Water heater replacement	Interior	03/07/25	Q4 2025	$680,000	$351,809	Bidding
HVAC replacement	Building	02/19/26	Q2 2027	$245,000	$249,562	In progress
Exterior paint	Life Safety	11/30/26	Q2 2027	$145,000	$9,650	Deferred
LED lighting retrofit	Interior	11/01/26	Q4 2027	$775,000	$249,761	Complete
Roof replacement - Bldg D	Site	03/17/23	Q2 2027	$650,000	$183,975	Bidding
Door hardware	Site	06/05/23	Q1 2025	$183,000	$159,527	Complete
ADA compliance	Site	06/09/25	Q1 2027	$851,000	$253,554	Approved
Security camera upgrade	Energy	08/25/23	Q1 2025	$740,000	$265,649	Bidding
Elevator modernization	Interior	12/08/23	Q4 2026	$834,000	$178,675	Approved
Door hardware	Energy	05/05/25	Q4 2025	$275,000	$178,027	In progress
Exterior paint	Life Safety	10/30/26	Q4 2025	$669,000	$266,785	Deferred
Lobby renovation	Life Safety	03/26/23	Q2 2027	$59,000	$22,066	In progress
Fire alarm panel upgrade	Site	05/06/23	Q4 2026	$431,000	$330,234	In progress
Roof replacement - Bldg B	Building	07/17/26	Q4 2027	$802,000	$341,184	Complete
Sewer line repair	Building	01/07/23	Q3 2027	$454,000	$209,228	Deferred
HVAC replacement	Interior	04/28/25	Q1 2025	$634,000	$481,875	Bidding
Door hardware	Energy	08/16/24	Q1 2026	$820,000	$820,055	Bidding
Lobby renovation	Energy	08/22/24	Q4 2027	$819,000	$292,010	Bidding
Security camera upgrade	Site	06/04/24	Q1 2027	$170,000	$114,553	Complete
Fence replacement	Building	10/19/24	Q2 2025	$478,000	$133,592	Approved
Amenity renovation	Site	07/21/25	Q1 2025	$332,000	$304,757	Deferred
Lobby renovation	Building	08/10/23	Q2 2026	$647,000	$403,981	Bidding
Door hardware	Interior	11/09/26	Q1 2027	$685,000	$25,218	Deferred
Sewer line repair	Building	08/14/24	Q3 2025	$293,000	$83,479	Approved
Amenity renovation	Life Safety	05/26/26	Q2 2026	$899,000	$419,634	Deferred
Landscape / irrigation	Interior	07/27/26	Q2 2027	$433,000	$41,376	Approved
Unit interior upgrades	Life Safety	03/09/24	Q3 2027	$202,000	$165,916	Deferred
Fire alarm panel upgrade	Energy	01/19/24	Q3 2027	$156,000	$72,601	In progress
Lobby renovation	Energy	01/19/23	Q1 2026	$546,000	$449,775	Complete
Elevator modernization	Interior	09/29/24	Q2 2026	$468,000	$200,971	Deferred
Security camera upgrade	Interior	04/20/23	Q3 2026	$512,000	$40,267	Approved
Unit interior upgrades	Energy	02/08/24	Q1 2027	$391,000	$49,377	In progress
Pool resurfacing	Energy	09/28/26	Q1 2027	$246,000	$165,725	Complete
Storefront glazing	Life Safety	08/20/23	Q2 2026	$816,000	$761,570	Complete

Report generated 07/13/2025. Figures are unaudited and subject to change.

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